



REUTERS/VASILY FEDOSENKO

UNEVEN GROWTH: Many of the Republics continue to face harsh conditions

ALL MOVES TO PRIVATISE civic utilities and monetise subsidies that people enjoyed during the Soviet regime have met with protests.

ernising the military-industrial complex a priority and plans to pump \$5 billion to upgrade it. Litovkin says: "Only now has the defence sector risen from its knees and has begun walking on the uphill road to modernisation."

Sistema's Evtoushenkov believes that the biggest challenge in the coming years would be to free the economy from its dependence on raw material exports and make it a more hi-tech power that can rival countries like India in software exports. Putin's new mantra is innovation and his country's industrial bigwigs admit they face a difficult task identifying sectors where Russia would be on the cutting edge. Say Evtoushenkov: "The world is a tough place if you want to learn to be innovative. We can't be copycats. We must revive fundamental sciences rapidly because for 15 years nothing was done. We must go back to the basics."

For that, the industry is increasingly looking towards Russia's major universities to provide the human resources capital needed to drive the economy. Inside the towering façade of the Moscow State University, Academician Viktor Sadovnichiy, its erudite and popular Rector, says: "Economic players are increasingly complaining that they do not have the adequate number of specialists to man their industries. There is a mismatch between what the universities turn out and what businesses need, and it is becoming an acute problem." Sadovnichiy points out that the past 15 years have seen an explosion of new universities with over 2,000 coming up across the country. Most of the new universities train specialists in law, man-

agement and the economy, resulting in a surfeit of such specialists to the neglect of others. Sadovnichiy says: "The quality of education too is of major concern."

The other major area that the new government would have to focus on is the collapsing infrastructure and utilities sector. Apart from continuing to manufacture the aging aircraft Ilyushin which nobody wants to sit in, as in India, the economic boom has seen airports on the verge of collapse. While rail services are still efficient, these are in urgent need of modernisation and efficient management. All moves to privatise the utilities sector and monetise the subsidies that people enjoyed during the Soviet regime have met with major protests. Shvydkoi says, "People want to earn as much as they do under capitalism and have high living standards. But they also want their needs guaranteed under socialism. They can't have both." With few private investors showing interest, Putin has set up huge state corporations to maintain and improve infrastructure facilities. But it's clearly a long haul.

In *Kremlin Rising* authors Peter Baker and Susan Glaser sum up the Putin era as Russia caught between two worlds, "No longer communist yet not quite capitalist, no longer a tyranny yet not quite free." At the Hermitage of St. Petersburg, the winter palace of Peter the Great, whom Putin models himself after, a guide observes with a wry smile: "Some generals have lost many battles but won the war. Others have won many battles but lost the war. The latter usually happens in Russia." Putin and Medvedev have won many battles to pull Russia out of the morass. But if they lose their way in the coming years, Russia could easily lose the war. ■